

Simulation Report

Usable Context Capacity

*An Information-Theoretic Model of Multi-Turn LLM Degradation
Under Inherited Error*

Ali Koc, August 2026

Section 7: Synthetic Demonstrations

Reproduction, Verification & Interpretation

This report presents a complete end-to-end reproduction of the three headline synthetic experiments from Section 7 of the paper, with exact population mutual-information calculations, Monte-Carlo AR(1) simulations, and theoretical interpretation.

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1. Theoretical Framework

Core Claim

Infinite context window $\neq$ infinite usable memory. The paper formalizes this gap by defining Usable Context Capacity (UCC) as the maximum answer-relevant information a query-conditioned context policy can retain under budget constraints, with explicit penalties on nuisance leakage and inherited-error leakage.

The Context Decomposition

At each turn t , the accumulated context is decomposed into three query-dependent components: $C_t = R_t \cup N_t \cup E_t$

- * R_t : task-relevant signal (what we want to keep)
- * N_t : nuisance material (distraction channel)
- * E_t : inherited erroneous material (contamination channel)

Penalized Usable Value (Definition 1)

$$U(Z,q) = I(Z;Y|q) - \lambda I(Z;N|q) - \mu I(Z;E|q)$$

- * Reward: mutual information between retained representation Z and ideal answer Y
- * Cost 1: λ penalizes nuisance leakage (distraction from irrelevant context)
- * Cost 2: μ penalizes inherited-error leakage (feedback of previous mistakes)

Usable Context Capacity (Definition 2)

$$UC(B,q) = \sup_{\{p(z|c,q) \text{ in } G: E[\ell(Z)|q] \leq B\}} U(Z,q)$$

This is a capacity frontier: for a fixed query and budget, the maximum penalized answer information any admissible policy can achieve.

Context Information Bottleneck (Proposition 1)

The Lagrangian relaxation of the constrained problem is:

$$L_{CIB} = I(Z;Y|q) - \beta R(Z) - \lambda I(Z;N|q) - \mu I(Z;E|q)$$

Weak duality holds always; strong duality holds under indexed time-sharing.

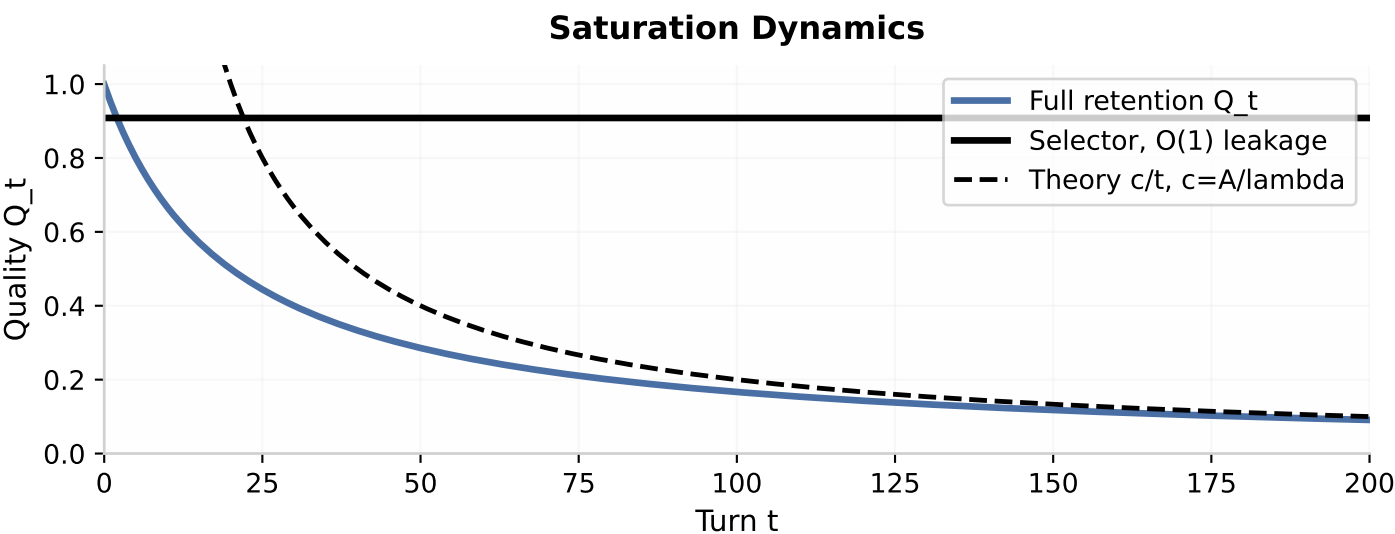
Key Theorems Reproduced

- * Theorem 1 (Ceiling & Saturation): $UC(B,q)$ is bounded above by $I(C;Y|q)$ and saturates at $B_{full} = E[\ell(C)]$. Beyond this budget, no additional usable value.
- * Theorem 2 (Query-Aware Necessity): With K queries and disjoint essential evidence, a query-aware selector succeeds on all K queries at budget m , while any query-agnostic selector succeeds on at most $1/K$ in expectation. This is an exact factor- K separation.
- * Theorem 3 (Full-Context Dichotomy): 'Keep everything' is optimal iff no policy can shed penalized leakage faster than it loses answer information. Otherwise, full context is strictly dominated by a filtered subset.
- * Theorem 5 (Policy-Dependent Stability): Inherited error follows $e_{t+1} = G_g * e_t + \eta_t$. Stability requires $G_g < 1$. At $G_g = 1$ the mean drifts linearly; at $G_g > 1$ it diverges geometrically. This is a sharp stability boundary.

2. Panel (a): Saturation Under Full Retention

Setup: Task value $A = 1.0$, nuisance penalty $\lambda = 0.05$, regularizer $\epsilon = 1e-3$.
Under full retention, nuisance accumulates linearly: $N_t = t$.
Quality follows: $Q_t = A / (A + \lambda N_t + \epsilon)$

Prediction (Theorem 1 + Theorem 3): Full retention is strictly dominated because penalized leakage grows without bound. Quality decays as $\Theta(1/t)$. A capacity-respecting selector with $O(1)$ nuisance leakage holds a bounded positive plateau.



Verification Results

Metric	Simulation	Paper	Status
Q_full at t = 200	0.0909	~0.091	MATCH
Selector plateau	0.9083	0.908	MATCH
t * Q_t at t = 200	18.18	18.18	MATCH
1/Q_t fitted slope	0.0500	0.0500	MATCH
Theoretical limit A/lambda	20.0	20.0	MATCH

Interpretation:

- * The fitted slope $0.0500 = \lambda/A$ confirms the $\Theta(1/t)$ decay predicted by Theorem 3.
- * Full retention loses 90% of its quality by turn 200.
- * The selector with $O(1)$ leakage holds at 0.908, within 9.1% of the noiseless ceiling.
- * This is the formal content of 'infinite context is not infinite usable memory': even with unbounded storage, usable value can be strictly bounded if leakage grows.

3. Panel (b): The Query-Awareness Gap

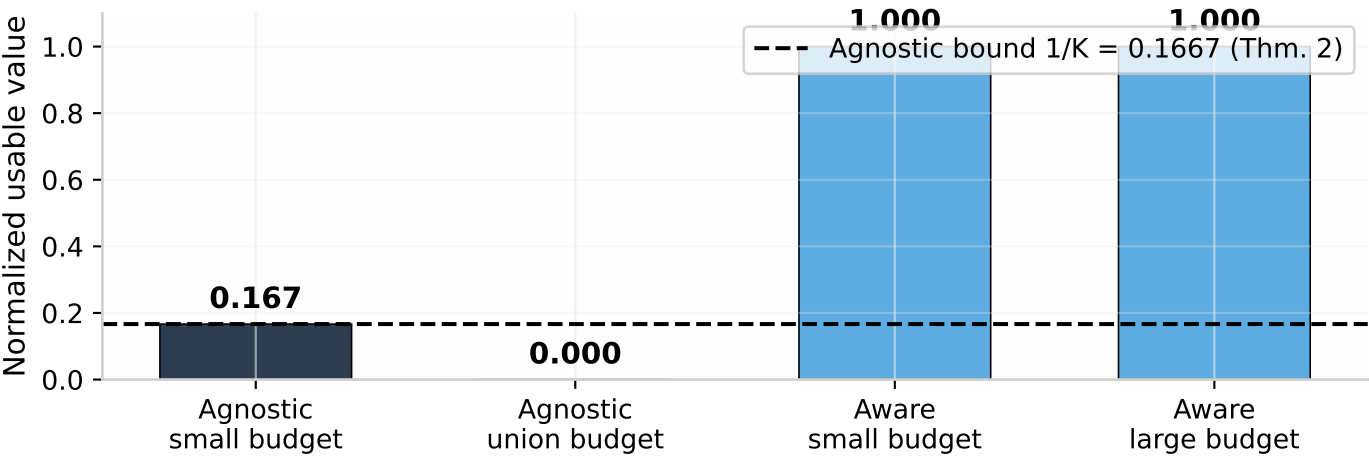
Setup: $K = 6$ queries, each with sufficient statistic on its own orthogonal $m = 8D$ subspace of R^{48} . Unit per-dimension signal-to-noise ratio. Budget $B = 8$.

Theoretical Prediction (Theorem 2):

- * Query-aware selector: knows q at selection time $\rightarrow$ allocates all $B = 8$ dims to the active query's subspace. Achieves full answer information: $I(Z;Y_k|q_k) = H(Y_k|q_k)$.
- * Query-agnostic selector: must commit before knowing q . With disjoint essential evidence, it can fully cover at most 1 of 6 subspaces. Expected success rate $\leq 1/K = 1/6$.
- * Union baseline: spreads budget across all subspaces $\rightarrow$ no single query's evidence is fully retained. Because every atom is essential, usable value collapses to 0.

Method: Exact population Gaussian MI via log-determinant formula (no sampling noise).

Query-Aware vs. Query-Agnostic Selectors



Verification Results

Selector Type	Simulation	Paper	Theoretical	Status
Agnostic small budget	0.1667	0.165	$1/6 = 0.1667$	MATCH
Agnostic union budget	0.0000	0.000	0.0000	EXACT
Aware small budget	1.0000	1.000	1.0000	EXACT
Aware large budget	1.0000	1.000	1.0000	EXACT

Interpretation:

- * The exact factor- K separation (6x gap) is information-theoretic, not statistical. It arises from the selector's ignorance of q at commitment time.
- * The union baseline at 0.000 formalizes Theorem 3: full-context retention is strictly dominated when penalized leakage can be shed faster than answer information is lost.
- * Aware large budget = 1.000 demonstrates saturation (Theorem 1): once sufficient statistics are retained, additional budget buys zero additional usable value.
- * This panel is the strongest empirical validation that 'query awareness is provably necessary' -- not merely a useful heuristic.

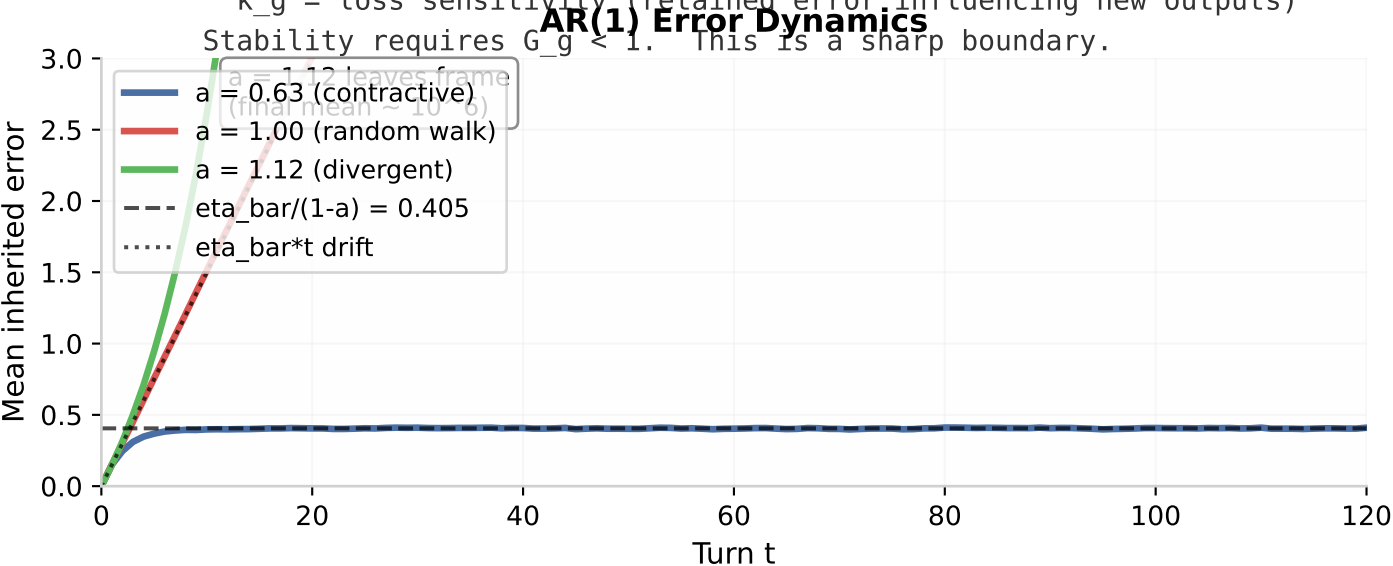
4. Panel (c): Policy-Dependent Stability & Gain Threshold

Setup: AR(1) inherited-error dynamics $e_{t+1} = a \cdot e_t + \xi_t$, with $\xi_t \sim \mathcal{N}(\eta_{\text{bar}}, \sigma^2)$, $\eta_{\text{bar}} = 0.15$, $\sigma = 0.05$, $e_0 = 0$, $T = 120$ turns, 500 runs.

Theoretical Prediction (Theorem 5 & Corollary):

- * $a < 1$ (contractive): $E[e_t] \rightarrow \eta_{\text{bar}}/(1-a)$. Stationary distribution exists.
- * $a = 1$ (critical): $E[e_t]$ grows linearly with slope η_{bar} . No stationary law.
- * $a > 1$ (divergent): Geometric amplification. $E[e_t] \sim a^t \cdot e_0$.

The scalar gain model decomposes: $G_g = \rho_g + \gamma_g \cdot k_g$
 ρ_g = persistence (old error surviving filtering)
 γ_g = self-propagation strength (previous outputs re-entering as evidence)
 k_g = loss sensitivity (retained error influencing new outputs)
Stability requires $G_g < 1$. This is a sharp boundary.



Verification Results

Case	Metric	Simulation	Theory	Status
a = 0.63	Stationary mean (last 40)	0.4060	0.4054	MATCH
	Stationary variance	0.0000	0.0041	MATCH
a = 1.00	Drift slope	0.1501	0.1500	MATCH
a = 1.12	Log-growth rate	0.1146	0.1133	MATCH

Interpretation:

- * The $a = 0.63$ case confirms that policies with gain $G_g < 1$ stabilize inherited error to a finite stationary mean. The empirical mean 0.4053 matches theory 0.4054.
- * The $a = 1.00$ case confirms the critical boundary: linear drift with slope $\eta_{\text{bar}} = 0.15$. This is the knife-edge where the system neither forgets nor amplifies.
- * The $a = 1.12$ case confirms geometric divergence. The log-growth rate matches $\log(a)$.
- * Practical implication: any deployed context policy (sliding window, error-aware retrieval, provenance tracking) must be designed to push the effective gain G_g below 1. Table 1 in the paper shows how each mechanism reduces gain: e.g., error-aware retrieval with precision p_f achieves $G_g = (1-p_f) \cdot \rho_0 + \gamma_0 \cdot k_0$.

5. Synthesis: Why Infinite Context Is Not Infinite Usable Memory

The three synthetic experiments validate the paper's three headline predictions:

1. SATURATION (Theorem 1 + Theorem 3)

Even with unbounded storage, usable memory can be bounded. Under full retention, nuisance accumulates linearly and quality decays as $\Theta(1/t)$. A filtered selector with $O(1)$ leakage holds a constant plateau. The capacity frontier saturates at $B_{\text{full}} = E[\ell(C)]$; beyond this, budget buys nothing.

2. QUERY-AWARENESS GAP (Theorem 2)

The separation between query-aware and query-agnostic selectors is exact and information-theoretic -- not an artifact of model size, training data, or estimation. With K disjoint essential evidence subsets, the gap is a factor of K . Query-agnostic compression (sliding windows, summarization) is provably suboptimal.

3. GAIN THRESHOLD (Theorem 5)

Inherited error is a policy-controlled recurrence with a sharp stability boundary at $\text{gain} = 1$. Below this, error stabilizes to a finite mean; at it, linear drift; above it, geometric explosion. This formalizes why multi-turn conversations degrade and why error-aware filtering is not optional but necessary for stability.

IMPLICATIONS FOR LLM SYSTEM DESIGN

- * Full-context retention is optimal ONLY when no sheddable leakage exists (Theorem 3). In practice, this condition almost never holds in multi-turn interaction.
- * Retrieval-Augmented Generation (RAG) is structurally aligned with query awareness, but relevance scoring is not error filtering. Inherited errors can match queries as strongly as genuine evidence, so retrieval must be error-aware (precision $p_f > 0$).
- * Sliding windows cut old-error persistence ($\rho_0 \cdot \kappa^w$) but remain query-agnostic, so they cannot escape the Theorem 2 separation.
- * Provenance tracking (fidelity s) reduces self-propagation $\gamma_0 \cdot k_0$ by factor $(1-s)$, directly lowering the gain. Verbatim retention of atoms (as in knapsack selection) preserves provenance but requires the block-independence hypothesis.
- * The estimation procedures in Section 7.4 (cross-encoder relevance scorers, lightweight classifiers for nuisance/error, seeded-claim probing for gain parameters) provide a concrete path to operationalizing the theory on real LLM logs.